Part of the blame for the "unequalising" effect also lies with India's services-led economic growth since liberalisation. According to NSSO (National Sample Survey Office) data, 45.5 per cent of the workforce was employed in agriculture, 12.4 per cent in construction and only 11.6 per cent in manufacturing, with the rest (30.5 per cent) in services in FY23. 'India's inability to pull more of its workforce away from agriculture towards more productive and better-paying employment remains a pressing challenge,' the paper says.

The paper also finds suggestive evidence that the Indian income tax system might be regressive when viewed from the lens of net wealth. It says that we need a restructuring of the tax code to account for both income and wealth, and broad-basing of public investments in health, education and nutrition to enable the average Indian, and not just the elites, to meaningfully benefit from the ongoing wave of globalisation. Besides serving as a tool to fight inequality, a "super tax" of 2 per cent on the net wealth of the 167 wealthiest families in FY23 would yield 0.5 per cent of national income in revenues and create valuable fiscal space to facilitate such investments, it says, adding that the quality of economic data in India 'is notably poor and has seen a decline recently'. The new estimates represent a lower bound to actual inequality levels, it adds.

Some experts, however, have questioned the accuracy of the report, given the lack of adequate data to arrive at such conclusions. "As a statistician, I am concerned with the data, sampling plans and methodologies used to produce these estimates," says Atanu Biswas, a professor at the Indian Statistical Institute, Kolkata. "One can wonder how the income distribution was estimated in the first place, given India doesn't have any official income surveys." In a media article, he goes on to add that the current estimates should be "viewed as a general indication of trends" rather than "the precise situation". What experts do agree on is the need for better data to draw better conclusions on the income and wealth divide that will help frame more effective solutions to tackle the issue. ■



PTI

SEEKING JUSTICE Karnataka chief minister Siddaramaiah with deputy chief minister D.K. Shivakumar

KARNATAKA

FIGHT FOR A FAIR SHARE

By Ajay Sukumaran

The differences between Karnataka and the Centre over disbursal of Union funds have escalated in the run-up to the general election, with the state's Siddaramaiah-led Congress government filing a writ petition in Supreme Court on March 23 seeking the release of central aid for drought relief. In the petition, Karnataka said that rainfall deficit during the 2023 monsoon resulted in 223 of the state's 236 sub-districts being drought-hit during last year's kharif cultivation season. An inter-ministerial central team had also visited the state for a field-level assessment, and the Siddaramaiah government added that assistance was pending even after five months of completion of the process.

The filing of the writ petition has contributed to a verbal duel between the Karnataka government and the Narendra Modi-led BJP government at the Centre. Karnataka's clash with the Modi government over funds allocation and the state's share in central taxes has been going on for a year.